Callisto Research

BITDEER'S BALANCE SHEET:

Black holes in the black box?

May 28th, 2025

Company: Bitdeer Technologies Group

Ticker: BTDR

Exchange: Nasdaq

Auditor: MaloneBailey

Report no. 3

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1. Executive summary

We remain short Bitdeer Technologies Group ("Bitdeer"). Further to the findings we published in mid-April 2025, we believe we have identified indications of Bitdeer inflating its balance sheet in its 2024 annual report by potentially over USD 100 million. In our opinion, Bitdeer achieved this via possibly fraudulent, and in any case highly dubious, valuations of the intangible assets of three private companies acquired in 2024. This appears to fit with at least one incident of dubious accounting in the Bitdeer group where balance sheet improvements were booked based on a transaction that never took place.

We believe this raises serious questions about the accuracy of the rest of the financial information Bitdeer provides, particularly its revenue figures and the value of its cryptocurrency portfolio, which we already called into question in our last report.

The companies in question are Freechain Inc, also known as Desiweminer[1] (which claims, we think dubiously, to operate a Bitcoin mining rig design and manufacturing operation[2]) and Bitdeer's Norwegian landlords, Troll Housing AS and Tydal Data Center AS. To summarise:

Desiweminer/Freechain Inc

- We believe Bitdeer has used the Desiweminer acquisition completed in June 2024 to fraudulently add approximately USD 85 million to the asset side of its balance sheet based on goodwill and IP valuations that appear plucked out of thin air.[3]

- We already believed that Bitdeer's acquisition of Desiweminer was highly suspect prior to the publication of Bitdeer's 2024 annual report. The acquisition made no commercial sense to us, based on the number of Desiweminer mining machines that Desiweminer claimed to have shipped to its customers in 2022 (30,000 machines from three "mass production" models shipped)[4] being the same as the one quoted by Bitdeer as the total number delivered by Desiweminer by 2024 ("almost 30,000 machines in the market"). We believed this meant one of two things:

    - Bitdeer paid tens of millions of dollars in shares for a company whose sales had fallen to zero after 2022.
    - one or both of the parties was lying about Desiweminer's level of success.

[1] https://ir.bitdeer.com/news-releases/news-release-details/bitdeer-announces-acquisition-desiweminer-all-stock-transaction
[2] https://www.desiweminer.com/about-us
[3] Bitdeer annual report 2024, page 219. "Net identifiable assets: technologies" are valued at USD 63.63 million and Goodwill is valued at USD 21.37 million. Goodwill is attributed primarily to the contribution of Desiweminer's workforce to Bitdeer; our research to date has identified no evidence of any employees of Desiweminer having joined Bitdeer.
[4] https://www.youtube.com/watch?v=FUX-5sxvdWI&t=383s . This figure was quoted at the Mining Disrupt 2023 conference.

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- Based on Bitdeer's annual report, we now believe that both were true- i.e. Desiweminer had no revenue, *and* Bitdeer and/or Desiweminer lied about Desiweminer's previous deliveries to customers. Bitdeer now admits that Desiweminer has not started mass deliveries of its mining machines to customers, **directly contradicting both the 30,000 figure quoted by Bitdeer in 2024 and by Desiweminer for 2022**.[5]

- Bitdeer now also discloses that Desiweminer had zero revenue in the year 2024; its property, plant and equipment figures are also under USD 60,000,[6] indicating it also did not have any significant number of mining machines or manufacturing equipment in inventory, contrary to what we would expect from a company with any kind of manufacturing operation in place. Bitdeer claims it conducted a 10-month due diligence process on Desiweminer (despite the fact that Freechain Inc, a.k.a. Desiweminer, was incorporated less than 10 months before the transaction, on 9 November 2023). If this were true, it would seem that Bitdeer would have been aware that Desiweminer had not started delivering its mining machines and would have called into question the 30,000 figure rather than quoting it.

- Despite zero sales figures or, seemingly, any proven commercial viability, Bitdeer has decided to value the intangible assets associated with Desiweminer at approximately USD 64 million and goodwill associated with the transaction at approximately USD 21 million. Absurdly, it also claims that the "recoverable amount" of Desiweminer exceeds its carrying value by approximately USD 519 million.[7] This has reinforced our view that the Desiweminer transaction appears likely to have been a disguised related-party transaction, designed to fraudulently inflate Bitdeer's balance sheet with made-up figures. We believe Desiweminer's proximity to Bitdeer is underlined by its apparent public face, Juliana Mei, having previously been an employee of Bitmain and BTC.com, the latter being a previous Bitdeer subsidiary.[8] [9]

Tydal Data Center AS and Troll Housing AS

- Bitdeer's April 2024 acquisition of its Norwegian landlords Tydal Data Center AS and Troll Housing AS similarly raises red flags for balance sheet inflation. Bitdeer

[5] BTDR annual report 2024, page 219: "The mining rigs developed by FreeChain have not yet been mass delivered by the end of 2024, and no external revenue was generated for the year ended December 31, 2024."
[6] BTDR annual report 2024, page 219: property, plant and equipment is valued at USD 55,000
[7] BTDR annual report 2024, page 234: "as of December 31, 2024, the estimated recoverable amount of the CGU exceeded its carrying amount by approximately US$518.6 million"
[8] https://www.linkedin.com/in/julianameixueyang/
[9] https://www.youtube.com/watch?v=FUX-5sxvdWI&t=383s . The Mining Disrupt 2023 conference, where Juliana Mei presented Desiweminer, is the only instance of a public appearance by the company we have identified.

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claims that, as of the date of year-end 2024, the two landlords' electricity rights were worth approximately USD 22.4 million. [10]

- Electricity rights do not appear as a line item in any of the annual reports of either Tydal Data Center or Troll Housing, including for the year ending 31 December 2023, four months before the transaction. If the sorts of electrical rights either company has (and previously had) are in fact a significantly sellable or valuable asset, it would appear extremely bizarre to not include them in any of their previous financial reporting. As such, we believe the USD 22 million figure, like that of Desiweminer's IP, is likely based on dubious and potentially fraudulent methodologies.

We believe that Bitdeer has booked balance sheet improvements based on made-up numbers before

- Previously, in 2021, Straitdeer, Bitdeer's Singapore-based operational subsidiary, booked a USD 156,926 gain upon ceasing control of its Russia-based subsidiary OOO Bitmain Technologies Rus ("BTR"), arising from the supposed shedding of liabilities.[11] However, data from the Russian corporate registry shows that as of January 2025, Straitdeer still directly owned 99.99% of the shares in BTR, as it appears to have done since BTR's incorporation.[12] As such, this gain appears to have been entirely fabricated.

Conclusion

If our views are correct and Bitdeer is propping up its balance sheet with fraudulent valuations of intangible assets, this begs the question as to why. Does Bitdeer have financial problems that run deeper than its reporting suggests, and does this explain the extremely unusual level of related-party transactions (both disclosed and undisclosed) that Bitdeer engages in?

[10] BTDR annual report 2024: "Identified intangible assets: rights to electrical capacity" are valued at USD 22.43 million.
[11] Source: Straitdeer 2021 annual report
[12] https://www.list-org.com/company/11934815/founders_history

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